

Land Contracts in Michigan

Sometimes, a seller will offer financing to the buyer, often because the buyer can't qualify for traditional financing, but sometimes because the seller would prefer to receive the proceeds from the sale of the property over time rather than in one lump sum. In such cases, the seller retains the deed until the buyer pays the agreed-upon sales price in full. Retention of the deed is the seller's assurance that the buyer will pay (because the seller, who retains ownership, may repossess the property if the buyer doesn't pay).

Often with seller financing, the buyer will contract to pay the seller the purchase price over time in a series of installments. As the buyer pays these installments, the buyer begins to pay off the sales price of the property. Once the buyer has paid the contract in full, the seller turns over the deed to the buyer. This type of sale is called a **contract for deed, conditional sales contract, installment sales contract, installment land contract**, or often just **land contract**.

Doctrine of Equitable Conversion

The **doctrine of equitable conversion** states that a seller or **vendor** of this type of contract retains **legal title** of the property (ownership interest that is enforceable by law), while the buyer or **vendee** is said to have **equitable title** rights (financial or "equitable" interest in the property). The vendor (seller) is restricted from taking any action that would jeopardize the vendee's (buyer's) interest in the property.

Buyers in land sales contracts are protected from unscrupulous sellers who take advantage of buyer naivety by repossessing and retaining all proceeds, leaving the buyer empty-handed. A buyer may also bring a civil suit against a seller if the buyer believes they've been treated unfairly.

Note: Equitable title is actually what any buyer holds to a property once the sales contract between buyer and seller has been signed. The contract is executory before it is fully completed. During this time, the seller retains possession and title, and the buyer has equitable title rights.

An installment sales contract is attractive to a buyer who:

- Can't obtain regular financing
- Doesn't have enough money saved for a traditional down payment

A seller will traditionally allow an installment sales contract to avoid paying federal capital gains tax all at once; instead, these are paid through percentage payments from installment sale proceeds each year.

One disadvantage to this type of arrangement for the buyer is that the buyer doesn't have legal ownership of the property until it's completely paid off. With a traditional mortgage, if you pay on it over time, even if you can no longer make your payments, you can usually sell it for a profit, or at least a return of your equity. Not so with an installment sales contract: The seller may receive many thousands of dollars—even hundreds of thousands of dollars—from a buyer, and if the buyer becomes unable to make payments, the seller can keep all of the proceeds received up until that point and repossess the property.